

May 17, 2026 10:00 PM GMT

Greater China Technology Hardware | Asia Pacific

Automation – Read-across from Preliminary JMTBA April 2026 Orders

In this report, we focus on preliminary JMTBA orders, which we believe could be a catalyst for Airtac's and Hiwin's share prices.

According to the Japan Machine Tool Builders' Association (JMTBA), headline orders dropped 2% MoM but grew 45% YoY in April 2026 (vs. +32% MoM/+28% YoY in March 2026), to ¥189bn.

- Domestic orders were -2% MoM/+43% YoY (vs. +36% MoM/+2% YoY in March), at ¥49bn.
- Overseas orders were -2% MoM/+46% YoY (vs. +30% MoM/+40% YoY in March), at ¥140bn.

Our view:

- Overseas order growth remained solid on a YoY basis, and we believe growth for all three major regions should be strong as manufacturing PMIs all held above the 50 threshold - China/Europe/North America at 50.3/52.2/52.7 in April, vs. 50.4/51.6/52.7 in March
- On top of the industry recovery, we remain OW on both Airtac (1590.TW) and Hiwin (2049.TW):
 - Airtac should continue to gain market share, and valuation appears undemanding at 22x 2027e P/E (vs. 25x average since 2020)
 - Hiwin should see margin expansion in the coming quarters, and especially in 2H26, owing to higher utilization and price hikes. The stock does not look cheap 37x 2027e P/E (vs. peak cycle valuation of 35-40x, but we think there might be potential upside to earnings estimates if demand momentum is sustained).

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GREATER CHINA TECHNOLOGY HARDWARE	
Asia Pacific	
Industry View	In-Line

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Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
Preliminary JMTBA April 2026 orders	15 May 2026	Unchanged	In-line
Hiwin Technologies Corp. 2049.TW			
Preliminary JMTBA April 2026 orders	15 May 2026	Unchanged	In-line

Source:Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 30x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an upcycle, we think applying a peak cycle valuation of 30x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 37x to our 2027 EPS estimate. We view this multiple as justified by the 44% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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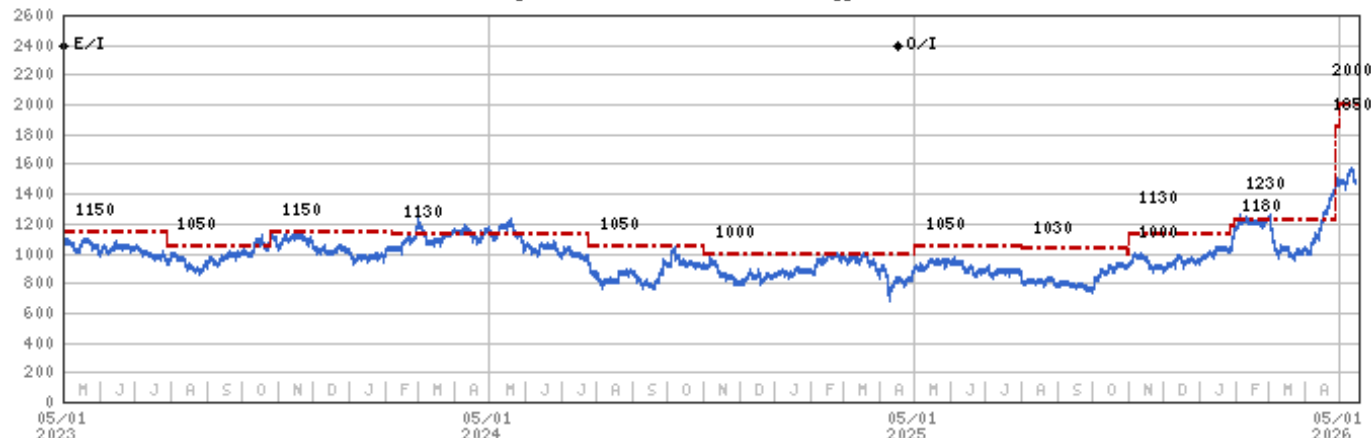
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AirTAC International (1590.TW) - As of 05/17/26 GMT in TWD
Industry : Greater China Technology Hardware



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Hiwin Technologies Corp. (2049.TW) - As of 05/17/26 GMT in TWD
Industry : Greater China Technology Hardware



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/15/2026)
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Andy Meng, CFA

AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.92
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb196.49
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$27.26
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.57
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.50
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb610.05
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$588.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.90
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.12
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,445.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.38
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.75
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$8.64
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb73.09
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$44.18
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb60.70
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$64.95
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb399.99
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb18.66
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$30.70
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb374.45
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$223.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb140.45
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb38.00
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,049.87
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$25.22
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb36.71

Derrick Yang

Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,505.00
Advantech (2395.TW)	O (01/20/2021)	NT\$459.50
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,465.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$19.05
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,095.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.14
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,410.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,240.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$210.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.20
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$392.50
Innolux (3481.TW)	E (04/07/2025)	NT\$36.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$4,860.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.21
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$99.60
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb16.16
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.18
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.47
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb175.00

Howard Kao

Acer Inc. (2353.TW)	U (04/23/2025)	NT\$27.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$641.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$28.65
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$9.39
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$326.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,290.00

Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb70.21
Lenovo (0992.HK)	E (11/16/2025)	HK\$12.42
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,330.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$786.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$76.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$306.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb89.95
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb323.25
Unimicron (3037.TW)	O (02/23/2026)	NT\$821.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$135.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,115.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$455.50
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$401.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,455.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$995.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$185.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,075.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,735.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb67.62
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$59.40
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb25.33
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$248.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,655.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb16.94
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$204.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb74.00
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$140.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$177.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$358.50

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* Historical prices are not split adjusted.